IN THE HIGH COURT FOR THE STATE OF TELANGANA AT HYDERABAD

(CRIMINAL PETITION JURISDICTION • BENCH OF HON'BLE SMT. JUSTICE T. RAJANI)

CRIMINAL PETITION NO. 8831 OF 2024

DATED THIS THE 24TH DAY OF OCTOBER, 2024

BETWEEN:

M/S. FINPAY DIGITAL INTERMEDIARIES LTD., **... PETITIONER**
HITEC City, Madhapur, Hyderabad

(By Adv. D. Prakash Reddy, Senior Advocate with Adv. V. Ravinder Rao)

AND:

1. STATE OF TELANGANA, Rep. by Cyber Crime Police Station, Cyberabad **... RESPONDENTS**
2. RESERVE BANK OF INDIA, Regional Office, Hyderabad

(By Public Prosecutor for State of Telangana;
Standing Counsel for Reserve Bank of India)

ORDER & JUDGMENT

1. The petitioner, an authorized payment facilitator and digital escrow intermediary, challenges arbitrary cascading freezes placed by Cyberabad Cyber Crime Police on downstream Layer 4 and Layer 5 merchant settlement accounts.

2. The Court observed that automated lien cascading on payment gateways paralyzes bona fide electronic commerce across the state without establishing mens rea or complicity.

3. Investigating officers cannot treat downstream merchants as accused persons under Section 102 CrPC merely because cyber fraud funds passed through common clearing channels.

OPERATIVE DIRECTIONS

(i) Cyber Crime Police Station Cyberabad is directed to establish an expedited 14-day administrative clearance window for Layer-3 to Layer-5 merchants.

(ii) Upon production of verified GST invoices, nodal banks shall release operational balances within 48 hours.

CERTIFIED TRUE COPY
High Court of Karnataka / Registry
Copy Application No: CA-28912/2024
Examined by: Superintendent (Judicial)

Sd/-
REGISTRAR (JUDICIAL)
HIGH COURT OF RECORD
Seal Affixed on Date of Pronouncement